

with the net income upon which the federal tax is paid. In our opinion a good deal of the information relative to minor matters that appears in registration statements and prospectuses might be dispensed with to general advantage; but if, in lieu thereof, the S.E.C. were to require such a reconciliation, the cause of security analysis would be greatly advanced.

Period	Federal income tax accrued	Rate of tax, per cent	Net income before federal tax	
			A. As indicated by the tax accrued	B. As reported to the stockholders
5 mo. to Dec. 1925	\$36,881	13	\$283,000	\$ 297,000
1926	66,624	13 ¹ / ₂	493,000	533,000
1927	51,319	13 ¹ / ₂	380,000	792,000
1928	79,852	12	665,000	1,315,000
1929	81,623*	11	744,000	1,076,000

* Including \$6,623 additional paid in 1931.

Another Extraordinary Case of Manipulated Accounting. An accounting vagary fully as extraordinary as that of Park and Tilford, though exercising a smaller influence on the reported earnings, was indulged in by United Cigar Stores Company of America, from 1924–1927. The “theory” behind the entries was explained by the company for the first time in May 1927 in a listing application that contained the following paragraphs:³

The Company owns several hundred long-term leaseholds on business buildings in the principal cities of the United States, which up until May, 1924, were not set up on the books. Accordingly, at that time they were appraised by the Company and Messrs. F. W. Lafrentz and Company, certified public accountants of New York City, in excess of \$20,000,000.

The Board of Directors have, since that time, authorized every three months the setting up among the assets of the Company a portion of this valuation and the capitalization thereof, in the form of dividends, payable in Common Stock at par on the Common Stock on the quarterly basis of 1¹/₄% on the Common Stock issued and outstanding.

³ See application to list 6% Cumulative Preferred Stock of United Cigar Stores Company of America on the New York Stock Exchange, dated May 18, 1927 (Application #A-7552).